Lessons from the Crisis

As someone said, this crisis was too valuable to waste. I, for one, learnt many lessons on crisis management and leadership.

By far the most important lesson I learnt is that the primary focus of a central bank during a crisis has to be on restoring confidence in the markets, and what this requires is swift, bold and decisive action. This is not as obvious as it sounds because central banks are typically given to agonizing over every move they make out of anxiety that failure of their actions to deliver the intended impact will hurt their creditability and their policy effectiveness down the line. There is a lot to be said for such deliberative action in normal times. In crisis times though, it is important for them to take more chances without being too mindful of whether all of their actions are going to be fully effective or even mildly successful. After all, crisis management is a percentage game and you do what you think has the best chance of reversing the momentum. Oftentimes, it is the fact of the action rather than the precise nature of the action that bolsters confidence.

Take the Reserve Bank's measure I wrote about earlier of instituting exclusive lines of credit for augmenting the liquidity of NBFCs and mutual funds (MFs) which came under redemption pressure. It is simply unthinkable that the Reserve Bank would have done anything like this in normal times. In the event of a liquidity constraint in normal times, the standard response of the Reserve Bank would be to ease liquidity in the overall system and leave it to the banks to determine how to use that additional liquidity. But here, we were targeting monetary policy at a particular class of financial institutions—the MFs and NBFCs—a decidedly unconventional action.

This departure from standard protocol pushed some of our senior staff beyond their comfort zones. Their reservations ranged from: 'this is not how monetary policy is done' to 'this will make the Reserve Bank vulnerable to pressures to bail out other sectors'. After hearing them out, I made the call to go ahead. Market participants applauded the new facility and saw it as the Reserve Bank's willingness to embrace unorthodox